VA Servicing Purchase – Bankruptcy Testing Template

Operational Risk Testing | December 2024 | Bankruptcy-flagged mortgage accounts

Use the questions below to assess compliance for accounts flagged for bankruptcy that were evaluated for or processed under the VA Servicer Purchase (VASP) program. Document the account-level evidence reviewed and the specific requirement tested.

01. Bankruptcy-related VASP processing

TEST QUESTION

For a bankruptcy-flagged account evaluated or submitted for VASP, did the servicer satisfy the bankruptcy-related condition in the cited provision before proceeding with the VASP action, including obtaining and retaining any bankruptcy-court approval or other authorization required for that account?

Citation: *VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a).*

EXCEPTION STATEMENT (IF NON-COMPLIANT)

The servicer did not comply with VA Servicer Handbook M26-4, Chapter 9, paragraph 9.07(a)(2)(a), because it proceeded with the VASP action without satisfying the bankruptcy-related requirement applicable to the account. The servicing file did not evidence [required court approval or other required authorization], although [describe the bankruptcy status, court order, or other case fact demonstrating the requirement applied]. Accordingly, the servicer failed to meet the applicable requirement before proceeding with VASP.

02. Bankruptcy-related servicing requirement

TEST QUESTION

For a bankruptcy-flagged account subject to VASP, did the servicer complete the bankruptcy-related action required by the cited provision, within the applicable timeframe, and maintain evidence in the servicing file demonstrating that the action was completed?

Citation: *VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3).*

EXCEPTION STATEMENT (IF NON-COMPLIANT)

The servicer did not comply with VA Servicer Handbook M26-4, Chapter 9, paragraph 9.08(c)(3), because it failed to [state the specific action required by the paragraph]. The account records show [describe the servicing action or omission and relevant dates], and do not demonstrate that the servicer completed the required action. The servicer therefore failed to meet its applicable bankruptcy-related obligation under the VA Servicer Handbook.

Reporting note: The bracketed text in each exception statement is a case-specific drafting prompt. Replace it with the precise requirement, supporting evidence, and account facts before recording an exception; do not report a failure unless the applicable paragraph requirement and facts have been confirmed.